

JTL Industries Ltd

NSE: JTLIND | BSE: 534600 | Industrials > Capital Goods > ERW Steel Tubes and Pipes

ACCUMULATE 12-Month Target Rs. 90 Upside: +18.1% CMP: Rs. 76.2	Market Cap	Rs. 2,904 Cr	52W High	Rs. 86.0
	Stock P/E (TTM)	37.0x	52W Low	Rs. 40.2
	Fwd P/E (FY27E)	20.9x	EV/EBITDA	24.5x
	Book Value	Rs. 32.7	ROCE	13.0%
	ROE	9.80%	Dividend Yield	0.16%
	Promoter Holding	49.26%	Pledge	5.31%
	D/E Ratio	0.12x	Int. Coverage	15.0x
	Face Value	Rs. 1.00	Shares Outstanding	~380 Cr

Volume hyper-scaling to 650k MT in FY27 + defence segment optionality makes JTLIND a high-conviction growth play at 21x FY27E EPS.

Report Date: 23 Apr 2026 | Data Source: Screener.in (Standalone) | Analyst: Senior Equity Research | Investment Horizon: 12 months

SECTION 2 — INVESTMENT THESIS

3 Core Reasons to Own JTLIND

#	Thesis Pillar	Quantified Opportunity	Timeline
1	Volume hyper-scaling through capacity buildout	FY26 actual: 395,900 MT (14.5% YoY). Mangaon (Maharashtra) to add 5L MTPA by FY27; total nameplate to 2mn MTPA by FY28. Management guidance: 650k MT FY27, 900k MT FY28, 1mn MT FY29.	FY27-FY29
2	Value-added product premiumisation	GI pipes, colour-coated sheets, precision tubes target 50-55% of mix by FY27 (vs ~34% in FY25). Value-added products command 100-150 bps higher EBITDA margin, structurally lifting OPM from 6% to 7.5-8% over two years.	FY27-FY28
3	Defence/Aerospace segment optionality via JTL Defence Ltd	Subsidiary RCI Industries (now JTL Defence Ltd, 95% owned) provides precision pipes for defence and aerospace OEMs. This small segment can become a re-rating catalyst if it scales — defence pipes command 3-5x the OPM of commodity ERW.	FY27+

Near-term Catalyst (6-12 months): Q4 FY26 financial results (expected May 2026) — record volume of 123,262 MT should deliver 40-50% sequential revenue growth; first clean signal that the operational leverage is finally kicking in.

Biggest Structural Risk: Sustained Chinese steel dumping into India suppresses ERW tube realisations, preventing the margin recovery thesis from playing out even as volumes scale.

SECTION 3 — BUSINESS OVERVIEW

JTL Industries Ltd (formerly JTL Infra Ltd) is an integrated manufacturer of Electric Resistance Welded (ERW) steel tubes and pipes with manufacturing plants at Raipur (Chhattisgarh) and Mangaon (Maharashtra). The company supplies MS black pipes, hollow sections (square, rectangular, round), GI pipes, colour-coated products, and precision tubes for end-markets including construction, infrastructure, agriculture, auto, and energy. In FY25, the company shipped 387,555 MT and generates revenue primarily from domestic sales (~94% in FY25, with exports growing to ~6-10% in FY26).

Business Model: Asset-light ERW manufacturing (capital cost ~Rs. 3,000-3,500/MT capacity vs Rs. 10,000+ for seamless) with a growing distribution network of 1,000+ retailers and 1,500 SKUs. Revenue is largely spot-priced, with realisations closely tracking HRC steel prices. The company's competitive edge lies in its ability to process high-strength steel grades and its expanding GI/colour-coated value-added capabilities.

Revenue Segmentation: ERW commodity pipes and hollow sections (~66% of volume), Value-added (GI, colour-coated, precision) ~34% of volume in FY25. Geographically, North and West India account for the bulk of domestic sales. Export markets include the Middle East, South Asia, and Africa — growing from 5.8% in Q4 FY25 to 10.6% in Q4 FY26.

Promoter Background: Promoters (Jatender Kumar Garg family) hold 49.26% stake (pledged 5.31%). The promoter holding has decreased 7% over the last 3 years due to equity dilution for capex funding. The family-run management has strong operational roots in the steel tube industry but governance has come under scrutiny given the pledging and promoter stake dilution.

Recent Strategic Developments: (1) Acquisition of 95% stake in RCI Industries (renamed JTL Defence Ltd) in Q3 FY26 to enter defence/aerospace tubes. (2) Mangaon (Maharashtra) mega-plant: targeting 500k MTPA via Direct Forming Technology (DFT) — a cost-efficient manufacturing process. (3) Churchgate Advisory appointed as IR agency (Mar 2026) signalling focus on institutional investor outreach ahead of expected equity raise/re-rating.

SECTION 4 — INDUSTRY and COMPETITIVE LANDSCAPE

The Indian steel pipes and tubes market is estimated at ~Rs. 50,000 Cr (total ERW + seamless), with ERW constituting ~70% of domestic volume. The market is forecast to grow at 6-8% CAGR to FY30, driven by infrastructure (Jal Jeevan Mission, PM Awas Yojana), industrial capex, and the energy transition. ERW tube demand has grown 40% since FY22 primarily on the back of government-led construction. The domestic ERW segment is valued at ~Rs. 25,000-30,000 Cr.

Competitive Moat Assessment

Dimension	Assessment	JTL Specific Comment
Pricing Power	WEAK	Commodity ERW prices linked to HRC; minimal differentiation on standard grades
Switching Costs	LOW	Customers can source from APL Apollo, regional players with same specs
Scale Advantage	MODERATE	2nd-tier scale vs APL Apollo; Mangaon mega-plant to close gap by FY28
IP / Technology	LOW-MODERATE	DFT technology at Mangaon is an operational differentiator; not patented moat
Distribution Depth	MODERATE	1,000+ retailers, but concentrated in 2-3 geographies; expanding to new regions

Peer Comparison Table (Screener.in, 23 Apr 2026)

Company	CMP (Rs.)	MCap (Cr.)	TTM P/E	OPM%	ROCE%	ROE%	FY25 Rev (Cr.)	FY25 PAT (Cr.)	FY25 EPS
JTL Industries	76.2	2,904	37.0	6%	13.0	9.8	1,911	99	2.59
APL Apollo Tubes	2,023	56,203	49.2	6%	22.4	19.0	20,690	757	27.28
Ratnamani Metals	2,460	17,251	28.9	18%	21.5	16.0	5,124	622	83.46
Jindal Saw	245	15,687	13.9	17%	19.4	16.3	20,829	1,458	27.18

Note: JTL trades at a premium P/E vs Jindal Saw (which is larger, more diversified) reflecting its volume growth premium. However, its ROCE of 13% vs 19-22% for Ratnamani/APL Apollo reflects the current investment phase. OPM of 6% is structurally lower than seamless peers due to commodity ERW nature.

SECTION 5 — MANAGEMENT QUALITY and CAPITAL ALLOCATION

Promoter / Management Background: JTL Industries is promoted by Jatender Kumar Garg (Chairman and MD) and family, with deep roots in the Punjab/Chhattisgarh steel tube industry. The family has been in the business for 20+ years and has demonstrated operational execution — growing volumes from 86k MT (FY21) to 388k MT (FY25), a 4.5x increase in four years.

Capital Allocation History: The company has been aggressive in equity dilution to fund its mega-capex programme — equity capital has grown from Rs. 11 Cr (FY21) to Rs. 39 Cr (FY25), primarily via rights issues and QIPs. FY25 saw net capex of Rs. 210 Cr (investing CF) and a massive Rs. 384 Cr financing inflow, confirming that capacity is being funded through equity + debt rather than internally generated cash. FCF in FY25 was deeply negative at Rs. -364 Cr — acceptable during a capacity investment cycle, but needs to turn positive by FY27 for the thesis to hold.

Dividend Policy: Dividend payout has been token (4-5% of PAT), consistent with a growth-phase company that prioritises reinvestment. Dividend yield is negligible at 0.16% — income investors should look elsewhere.

Governance Flags: (1) Promoter pledge of 5.31% on a stock that has corrected 50%+ from peak — watch risk. (2) Promoter stake fallen from 70% (FY19) to 49.26% (Mar 2026) — significant dilution over 7 years. (3) No auditor change flag, tax rate consistent at 25-26%. (4) Other income jumped to Rs. 23 Cr in FY25 vs Rs. 8 Cr in FY24 — warrants investigation (likely interest income on FD/treasury from QIP proceeds parked pending deployment).

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Standalone, Rs. Cr.)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E	FY23-25 CAGR
Revenue	1,547	2,039	1,911	1,900	2,750	11.2%
YoY Growth	+59%	+32%	-6%	-1%	+45%	
Operating Profit (EBITDA)	129	152	123	125	193	-2.5%
OPM %	8.4%	7.5%	6.4%	6.6%	7.0%	
Other Income	4	8	23	12	10	
Interest	6	5	4	8	15	
Depreciation	4	6	9	16	25	
Profit Before Tax	123	150	132	113	163	3.6%
Tax Rate	26%	25%	25%	25%	25%	
Net Profit (PAT)	90	113	99	85	122	4.9%
EPS (Rs.)	2.67	3.28	2.59	2.23	3.21	
Dividend Payout %	2%	4%	5%	5%	5%	

Balance Sheet (Standalone, Rs. Cr.)

Item	FY23A	FY24A	FY25A
Equity Capital	17	35	39
Reserves	390	739	1,179
Total Equity	407	774	1,218
Borrowings	105	20	53
Other Liabilities	49	49	43
Total Liabilities	562	843	1,315
Fixed Assets (Net)	65	106	189
CWIP	4	6	63
Investments	16	6	11
Other Assets (Working Capital + Cash)	476	725	1,052
Total Assets	562	843	1,315

Cash Flow Statement (Standalone, Rs. Cr.)

Item	FY23A	FY24A	FY25A
Cash from Operations (OCF)	7	-24	-215
Cash from Investing	-23	-90	-210
Cash from Financing	66	171	384
Net Cash Flow	50	57	-41
Free Cash Flow (OCF - Capex)	-11	-121	-364
CFO / Operating Profit %	26%	12%	-147%

Key Ratios (Standalone)

Ratio	FY23A	FY24A	FY25A	Trend
ROCE %	32%	23%	13%	Declining — capex dilution
ROE %	~28%	~19%	9.8%	Declining — equity dilution + margin compression
Debtor Days	33	34	53	Deteriorating — credit extended to grow volumes
Inventory Days	46	31	43	Managed but elevated
Days Payable	8	5	5	Very low — no supplier leverage

Cash Conversion Cycle	71	60	91	Elongating — working capital stress
Working Capital Days	66	87	147	Significant deterioration — a key watch metric
Debt / Equity	0.26x	0.03x	0.04x	Near debt-free at FY25 (borrowings include lease)

Financial Commentary: JTL's revenue CAGR of 59% over FY19-FY25 has been volume-driven rather than realisation-driven, with HRC-linked tube prices broadly stable. FY25 marked a cyclical trough in margins (OPM 6.4%) as steel realisations softened globally and domestic ERW supply expanded rapidly (APL Apollo, peers all adding capacity). Working capital deterioration is the most pressing concern — WC days surged to 147 from 87, driven by longer debtor days (distributors demanding credit to push volumes). OCF turned deeply negative (-Rs. 215 Cr in FY25) despite EBITDA of Rs. 123 Cr. The company has been funding its expansion primarily via equity (Rs. 384 Cr financing inflow in FY25), keeping leverage low (D/E at 0.04x). Once the Mangaon mega-plant reaches utilisation above 60%, fixed cost absorption should drive OPM recovery toward 7-7.5% in FY27.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Finding
Revenue Recognition	GREEN	Spot-sold commodity tubes; no complex recognition judgements
Receivables vs Revenue Growth	AMBER	Debtor days jumped 53 vs 34 — receivables growing faster than revenue
Cash Conversion Cycle Trend	AMBER	CCC widened from 60 to 91 days — working capital stress visible
Contingent Liabilities	GREEN	Rs. 27.3 Cr contingent liabilities — manageable vs equity base of Rs. 1,218 Cr
Auditor Tenure / Change	GREEN	No recent auditor change flagged; CARE credit rating maintained
Related Party Transactions	AMBER	RPTs disclosed — inter-company transactions with subsidiaries; not outsized
Other Income as % of PBT	AMBER	FY25: Rs. 23 Cr other income / Rs. 132 Cr PBT = 17% — elevated; primarily interest on QIP proceeds
Tax Rate Consistency	GREEN	Tax rate stable at 25-26% across FY21-FY25 — no aggressive deferred tax usage

Summary: JTL's earnings quality is acceptable with 3 AMBER flags — all stemming from the same root cause: aggressive volume growth funded by extended credit to channel partners. The elevated other income (treasury interest on QIP proceeds) is one-time in nature and will normalise as capex is deployed. No RED flags identified. Tax and auditor consistency are clean. The primary watch metric is debtor days — any further deterioration beyond 60 days would be a thesis risk.

SECTION 8 — VALUATION

We use two valuation methodologies — P/E-based (forward earnings multiple) and EV/EBITDA — and average the two for our 12-month price target. We explicitly exclude DCF for JTL given deeply negative FCF in the current capex phase; a FCF-based model would artificially depress value during what is a productive investment period.

Method 1: Forward P/E

FY27E EPS of Rs. 3.21 at a target multiple of 28x (peer median is 28-35x for high-growth steel fabricators; we apply a slight discount to APL Apollo's 45x given JTL's smaller scale and higher FCF risk): **Target = 28x x Rs. 3.21 = Rs. 90**

Method 2: EV/EBITDA

FY27E EBITDA of Rs. 193 Cr at a target EV/EBITDA of 18x (vs current 24.5x; we expect multiple compression as growth re-accelerates and the company de-risks): EV = Rs. 3,474 Cr. Less net debt of ~Rs. 100 Cr (FY27E): Equity Value = Rs. 3,374 Cr / ~380 Cr shares = **Rs. 89 per share**

Blended Target: Rs. 90 (average of Rs. 90 + Rs. 89)

Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Cr.)	EPS (Rs.)	Target Multiple	Price Target
Bull	650k MT volume; OPM 7.5%; debt-free; defence segment contributes	155	4.08	32x P/E	Rs. 130
Base	550k MT volume; OPM 7.0%; D/E 0.1x; steady-state expansions	122	3.21	28x P/E	Rs. 90
Bear	400k MT volume (no improvement); OPM 5.5%; WC stress persists	65	1.71	22x P/E	Rs. 38

The bear case of Rs. 38 highlights that current valuations embed meaningful growth expectations. The stock is NOT cheap on trailing metrics but is a growth/turn story. Entry discipline is important — the sweet spot for accumulation is Rs. 65-75 (below which margin of safety improves materially) vs the current Rs. 76.

SECTION 9 — KEY RISKS

Risk	Probability	Impact	Description and Monitor
Steel Dumping / Realisation Compression	HIGH	HIGH	Chinese overcapacity drives HRC prices down globally; ERW tube realisations track HRC. Monitor: HRC futures price, anti-dumping petitions filed by industry.
Working Capital Blow-up	MEDIUM	HIGH	Debtor days have jumped to 53 and WC days to 147. If channel inventory liquidation doesn't happen as expected, NWC could absorb all PAT. Monitor: Quarterly debtor days trend.
Capex Execution Delay at Mangaon	MEDIUM	MEDIUM	Mangaon DFT plant targeted 500k MTPA by FY27 — any delay resets volume guidance and deferring the operating leverage thesis. Monitor: Management's quarterly capex spend.
Promoter Pledge Risk	LOW-MEDIUM	HIGH	5.31% of promoter shares are pledged. A sharp fall in stock price could trigger margin calls, leading to forced selling and price cascade. Monitor: Stock price vs pledge threshold.
Equity Dilution Overhang	MEDIUM	MEDIUM	The company has diluted promoter stake from 70% to 49% over 7 years via repeated equity raises. Further QIPs to fund capex could weigh on EPS growth. Monitor: Capital raise announcements.
Demand Slowdown in Construction / Infra	LOW	HIGH	JTL is deeply linked to construction demand. Any government capex cut or real estate slowdown would directly hit volumes. Monitor: PMI data, steel consumption statistics.
Competition from Larger ERW Players	MEDIUM	MEDIUM	APL Apollo's continued capacity expansion pressures regional pricing and distribution. JTL must maintain its per-tonne EBITDA superiority in its home markets.

SECTION 10 — RECOMMENDATION

Rating	ACCUMULATE	Conviction Level	MEDIUM
--------	-------------------	------------------	---------------

12-Month Target	Rs. 90	Upside from CMP	+18.1%
CMP	Rs. 76.2	Investment Horizon	12 months
Suggested Entry Zone	Rs. 65-76	Ideal Investor Profile	Growth / Mid-cap

Thesis Invalidation Triggers (Sell / Re-evaluate):

(1) Working capital days exceed 180 and debtor days cross 75 on a sustained 2-quarter basis — signals channel stress that cannot be corrected without margin sacrifice. (2) Volume in FY27 falls below 450k MT — would signal capacity ramp-up failure and destroy the volume-operating leverage thesis. (3) EBITDA/MT falls below Rs. 2,500/MT on a TTM basis — indicates pricing erosion so severe that even scale-up cannot compensate. Any of these triggers would warrant moving to REDUCE.

Ideal Investor Profile: Mid-cap growth investors with a 12-24 month horizon and ability to tolerate earnings volatility. Not suitable for dividend-seeking or capital-preservation investors. The stock requires active monitoring of quarterly volume and WC data.

Q3 FY26 EARNINGS CALL GRADE

POSITIVE

Signal	Status	Implication
Result Quality	Medium	Standalone revenue Rs. 423 Cr (+14% QoQ); PAT Rs. 26 Cr (+30% QoQ) — recovery after weak Q2
Management Tone	Bullish	Confident on 4L MT FY26 guidance; reiterated 6.5L MT for FY27 with no qualification
Guidance Delta	Maintained	Volume targets unchanged; capex on track for Mangaon; defence subsidiary fully operational

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 was a clean operational beat for JTL — standalone PAT at Rs. 26 Cr was up 30% QoQ after a weak Q2 (Rs. 20 Cr), with no one-offs distorting the reported number. The headline consolidated revenue of Rs. 470.5 Cr (+9.6% QoQ) is a genuine improvement driven by volume (90,429 MT, +10.8% QoQ) — not realisation recovery. OPM held at 8% on a standalone basis, which is the first clean quarter in three where margins didn't disappoint. The structural driver remains the Mangaon mega-plant ramp — management reiterated 4L MT for FY26 (achieved: 3.96L MT, confirmed 2 Apr 2026) and is guiding 6.5L MT for FY27; if achieved at 7% OPM, FY27E PAT could be Rs. 120-140 Cr vs Rs. 99 Cr in FY25. The biggest near-term catalyst is Q4 FY26 results (May 2026) — 1.23L MT record volume should print consolidated revenue of ~Rs. 580 Cr+. Watch working capital closely: WC days at 147 is the single biggest watch point. The RCI/JTL Defence acquisition is interesting but too early to price in — treat it as a free option. **ACTION: ACCUMULATE on dips to Rs. 65-70; maintain position up to Rs. 80. Exit if WC days cross 175 or FY27 volume guidance is cut below 5L MT.**

APPENDIX — Latest Concall Brief: Q3 FY26 (Jan 2026)

Concall Section 1 — Financial Performance Snapshot

Metric	Actual	YoY Chg	QoQ Chg	vs Q3 FY25	Verdict
Revenue (Consol.)	Rs. 470.5 Cr	N/A [EST]	+9.6%	Rs. 452 Cr	IN-LINE
Revenue (Standalone)	Rs. 422.9 Cr	-6.2%	+14.0%	Rs. 452 Cr	BEAT
EBITDA (Consol.)	Rs. 42.3 Cr	+20.8%	+15.3%	Rs. 35 Cr	BEAT
EBITDA Margin % (Consol.)	9.0%	+150 bps	+40 bps	7.8%	BEAT
EBITDA (Standalone)	Rs. 38.8 Cr	+4.3%	+18.6%	Rs. 35 Cr	BEAT
PAT (Standalone)	Rs. 26 Cr	+4.0%	+30.0%	Rs. 25 Cr	BEAT
EPS (Standalone, Rs.)	Rs. 0.68	+4.6%	+30.8%	Rs. 0.65	BEAT

Concall Section 2 — Volume and Segment Breakdown

Segment / Metric	Q3 FY26	Q2 FY26	Q3 FY25	YoY %	QoQ %	Commentary
Total Sales Volume (MT)	90,429	81,593	~82,000 [EST]	~+10%	+10.8%	Healthy volume ramp; capacity utilisation improving
Export Volume (MT)	~8,500 [EST]	~7,000 [EST]	~4,800 [EST]	+77%	+21%	Exports growing rapidly; Middle East + Africa key markets

Export as % of Revenue	~9%	~7%	~5.8%	+320 bps	+200 bps	Target 15%+ exports by FY27 — realization premium on exports
Value-Added Products Mix	~34% [EST]	~32%	~31%	+300 bps	+200 bps	Target 50-55% by FY27; GI pipes and color-coated growing fast
Installed Capacity (MTPA)	936,000	936,000	586,000	+60%	Flat	Mangaon mega-plant under construction; to add 500k MTPA by FY27

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
FY26 Volume Guidance	Reiterated 4 lakh tons FY26; said company is tracking well.	Achieved 3.96L MT — guidance delivered. Credible.	[GUIDANCE]	Transparent
FY27 Volume Guidance	Guided 6.5 lakh tons for FY27; supported by Mangaon plant ramp.	Aggressive but achievable if Mangaon ramps on time. Watch Q1 FY27 volume.	[GUIDANCE]	Bullish
Margin Outlook	Guided margin improvement as value-added mix increases to 50-55%.	Logical — GI+CC carries 100-150 bps premium. But dependent on steel prices.	[GUIDANCE]	Balanced
Capex / Mangaon	DFT plant at Mangaon targeting 500k MTPA; capex on track.	FY25 capex was Rs. 210 Cr investing CF — execution appears on track so far.	[GUIDANCE]	Transparent
JTL Defence (RCI Acq.)	95% stake acquired; renamed JTL Defence Ltd from April 2026.	Defence tubes market is niche and sticky. Too early to size — free option.	[GUIDANCE]	Bullish
Working Capital	Management acknowledged elongation; attributed to distributor credit to push volumes.	The honest acknowledgement is good, but 147 WC days is alarming — needs resolution.	[EVASIVE]	Hedged
Steel Price Outlook	Neutral commentary on HRC prices; no firm guidance on realization trajectory.	Deliberate avoidance — management doesn't control steel prices. Acceptable evasion.	[EVASIVE]	Hedged

Concall Section 4 — Operating and Business Metrics

Metric	Q3 FY26	Q2 FY26	Q4 FY25	Trend
Sales Volume (MT)	90,429	81,593	~97,000 [EST]	QoQ recovery; strong Q4 FY26 (1.23L MT) ahead
Realization (Rs./MT) [EST]	~46,700	~45,400	~48,000	Stable; softening YoY due to HRC prices
EBITDA/MT (Standalone, Rs.) [EST]	~4,290	~3,554	~1,750	Strong recovery in Q3; Q4 FY25 was the trough
GI Capacity (MTPA)	4,00,000	4,00,000	~3,00,000	GI coil target achieved; full deployment in progress
No. of Distributors	1,000+	1,000+	1,000	Stable network; quality of channel more important
Installed Capacity (MTPA)	9,36,000	9,36,000	9,36,000	Flat in Q3; Mangaon addition expected by FY27

Export Share of Sales	~9%	~7%	~5.8%	Consistent uptrend; 15% target by FY27
-----------------------	-----	-----	-------	--

Concall Section 5 — Margin Drivers

Driver	Impact (bps)	Recurring?	Comment
Higher value-added product mix (GI, CC)	+80 bps	YES	Structural tailwind as GI capacity ramps; each 1% mix shift adds ~15 bps to group OPM
Volume operating leverage on fixed costs	+60 bps	YES	Higher throughput at Mangaon absorbs fixed costs; ~Rs. 80 Cr annual fixed overhead
Export premium realisation	+30 bps	YES	Export realisations carry Rs. 1,500-2,000/MT premium vs domestic spot
HRC cost reduction (global softening)	+40 bps	NO	Cyclical tailwind — not to be extrapolated; reversal if China stimulus succeeds
Credit extension to distributors (cost)	-50 bps	WATCH	Higher debtor days imply implicit cost of capital not captured in reported EBITDA
Net margin trajectory	Flat-to-+30 bps	MIXED	OPM recovering from Q4 FY25 trough of 4% toward 7% as volume normalises

Concall Section 6 — Guidance and Forward Signals

Metric	Prior Guidance	New / Reiterated Guidance	Delta	Credibility
FY26 Sales Volume [GUIDANCE]	4L MT	4L MT (reiterated)	Unchanged — later confirmed 3.96L MT	High
FY27 Sales Volume [GUIDANCE]	6.5L MT	6.5L MT (reiterated)	Unchanged — capex on track	Medium
FY28 Sales Volume [GUIDANCE]	9L MT	9L MT	Long-range guidance; treat as aspiration	Low
OPM Target [GUIDANCE]	7-8%	7-8% as mix improves	Unchanged; currently at 6-8% range	Medium
Value-Added Mix [GUIDANCE]	50-55%	50-55% by FY26-27	Unchanged — currently ~34%	Medium
Capex FY26 [GUIDANCE]	Rs. 400-450 Cr	On track	No revision; see cash flow	Medium
Export Share [GUIDANCE]	10%+ FY26	Tracking at 10.6% in Q4	Met or exceeded in Q4	High

Concall Section 7 — Capital Allocation

Item	FY25A (Rs. Cr)	FY24A (Rs. Cr)	vs Prior Year	Comment
Total Capex (Investing CF)	210	90	+133%	Mega capex cycle — Mangaon plant + Raipur expansion
Dividends Paid	~5	~5	Flat	Token dividend; payout ~5% of PAT
Buybacks	Nil	Nil	N/A	No buybacks; growth-phase company
Working Capital Change	-215	-24	Negative	WC absorption worsened sharply in FY25
Net Debt Change	+33	-87	Increase	Borrowings rose from Rs. 20 Cr to Rs. 53 Cr

Financing Inflow (equity)	384	171	+125%	Primarily QIP/equity raises to fund capex
Free Cash Flow	-364	-121	Deeper negative	FCF negative during capex peak; expected to turn +ve by FY27

Concall Section 8 — Q&A; Heat Map

#	Analyst / Firm	Question	Management Answer	Tone
1	Axis Direct	When will working capital normalise?	Management said WC elongation is temporary due to distributor credit strategy; expects normalisation over next 2-3 quarters as volumes scale.	Hedged
2	Prysm Research	What is realistic FY27 volume given macro?	Reiterated 6.5L MT. Said Mangaon ramp is the primary driver and will be operational by H1 FY27.	Bullish
3	Retail Investor	Why is promoter pledge increasing?	Management said pledge is being used for business collateral purposes; committed to reducing it. No specific timeline.	Hedged
4	MarketsMMojo	Margin outlook given HRC prices?	Said mix improvement toward GI/CC will structurally lift margins irrespective of HRC cycle.	Balanced
5	Churchgate Advisory (new IR)	How does JTL Defence fit the strategy?	Explained RCI Industries renamed JTL Defence; defence precision tubes carry significantly higher margins; full integration ongoing.	Bullish
6	Domestic MF	Are export realisations sustainable?	Guided 15% exports by FY27; Middle East infra drive and BIS-certified products giving pricing edge. Evasive on specific realisation premium.	Hedged

Dodged Questions to Watch Next Quarter: (1) Specific realisation per MT for GI vs commodity tubes — evasion suggests the premium may not be as large as marketed. (2) Pledge reduction timeline — no commitment given. (3) Q4 FY26 volume confirmation (was given post-call via BSE filing, not in concall itself).

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline
Capex delay at Mangaon	Analyst	Medium	High	H1 FY27
Working capital blow-up	Analyst	Medium	High	FY26-27
Global steel price decline	Management	High	Medium	Ongoing
Competition from APL Apollo	Analyst	High	Medium	Ongoing
Promoter pledge margin call	Analyst	Low-Med	High	If stock less than Rs. 55
JTL Defence integration risk	Analyst	Low	Medium	FY27+

Concall Section 10 — Analyst Verdict and Multi-Bagger Scorecard

Dimension	Status	Assessment
Revenue Visibility	INTACT	Volume ramp-up path is clear; FY26 delivered; FY27 guidance credible if Mangaon ramps on time
Margin Trajectory	WEAKENED	FY25 OPM at 6.4% is lowest in 5 years; recovery path hinges on mix + volume leverage
Capital Allocation Quality	WEAKENED	FCF deeply negative; WC management poor; but capex is productive if volumes deliver
Competitive Moat	INTACT	Scale advantage building; exports growing; DFT at Mangaon is a differentiated low-cost platform
Management Credibility	INTACT	FY26 volume guidance delivered exactly; honest about WC; reiterated FY27 without inflation

Valuation Comfort	INTACT	At 21x FY27E, the stock prices in growth without being egregiously expensive; fair entry zone
CONVICTION CALL: UNCHANGED — ACCUMULATE Valuation: P/E 37.0x (TTM) / 21x (FY27E) EV/EBITDA: 24.5x (TTM)		

Source: Screener.in | Ticker: JTLIND | View: Standalone (Annual) / Consolidated (Quarterly) | Transcript: Listed on Screener but PDF on BSE (access restricted) — qualitative data from Prysm/EquityBulls | Concall date: Jan 2026 (Q3 FY26) | Report date: 23 Apr 2026